

stock markets fell by about a third, all while trend models gained about the same amount.

The conclusion of all of this must be that trend following really does live up to its promise of crisis alpha. When the stock markets are in trouble, more often than not, trend following is gaining. That makes for excellent possibilities to use trend following to diversify a traditional portfolio, to achieve better risk-adjusted returns on the overall portfolio.

■ Trading Direction

The strategy we have arrived at is direction agnostic, using symmetrical rules for longs and shorts both in terms of entry and exit and in position sizing. So far we have only looked at the overview aggregated results and they seem to hold up well against the benchmarks, but we have not dug into the details of performance attribution yet. The first point we need to look into is how the long and the short side fare against each other and whether there are any differences between the two. For those who previously have not done these simulations themselves, the result of such an investigation may be a bit of a shock.

Figure 5.8 shows the yearly performance for the core trend model, divided on long and short sides. The long performance, shown in black, clearly dominates the picture. We see that the long side has a positive performance for most, almost all years, while the short side has plenty of losing

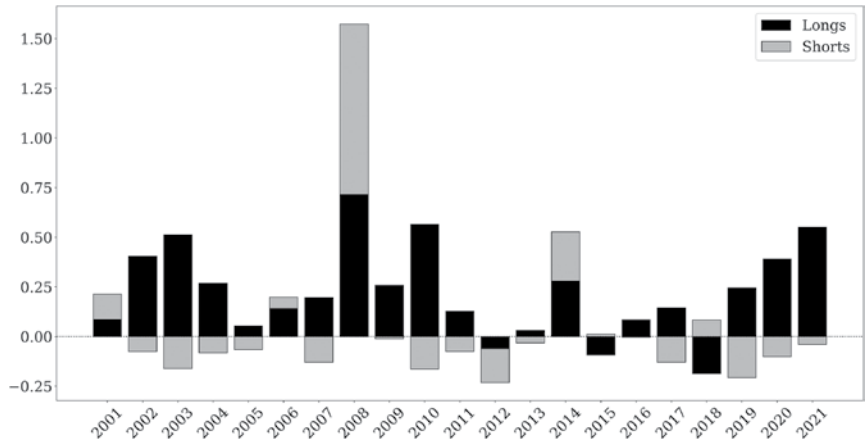


FIGURE 5.8 Yearly results longs versus shorts.